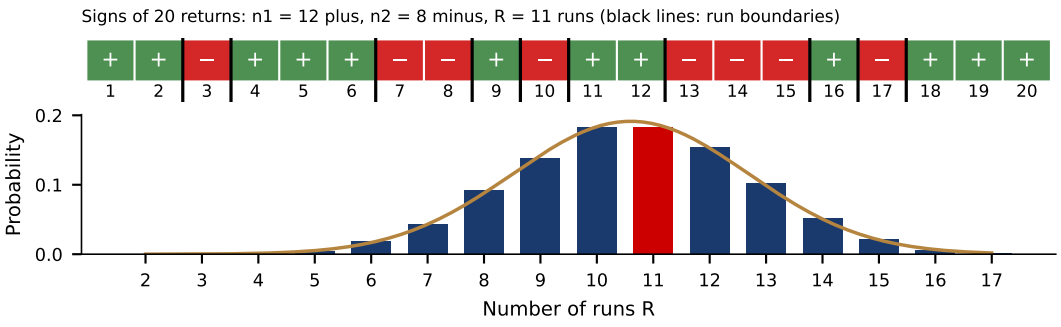
Signs of 20 returns: n1 = 12 plus, n2 = 8 minus, R = 11 runs (black lines: run boundaries)
+ + − + + + − − + − + + − − − + − + + +
1 2 3 4 5 6 7 8 9 10 11 12 13 14 15 16 17 18 19 20
Probability
0.2
0.1
0.0
2 3 4 5 6 7 8 9 10 11 12 13 14 15 16 17
Number of runs R
Normal approximation, mean 10.6, SD 2.08
Observed R = 11: exact P(R >= 11) = 0.520
Exact P(R = r | n1, n2)